Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months ended March 31, 2005 and 2004

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at March 31, 2005	As at March 31, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited) (As restated) (Note 2 (a))	(As restated) (Note 2(a))
ASSETS			
Current assets			
Cash and cash equivalents	**$ 19,071**	$ 31,297	$ 9,312
Accounts receivable (Note 4)	**19,207**	24,186	24,148
Due from Maple Leaf Foods Inc.	**–**	2,405	–
Inventories	**32,960**	34,834	33,504
Future tax asset – current	**6,711**	6,137	5,193
Prepaid expenses and other assets	**1,830**	2,693	2,103
	79,779	101,552	74,260
Property and equipment	**354,538**	335,315	354,128
Other long-term assets	**3,075**	2,381	3,386
Future tax asset – non-current	**6,622**	2,124	5,465
Goodwill	**324,477**	335,141	324,237
Other intangibles	**6,143**	7,485	6,167
	$ 774,634	$ 783,998	$ 767,643
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Accounts payable and accrued charges	**$ 128,133**	$ 142,157	$ 149,410
Due to Maple Leaf Foods Inc.	**323**	–	140
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**15,860**	3,453	26,501
Current portion of long-term debt (Note 5)	**118,281**	700	91,482
	264,122	147,835	269,058
Long-term debt (Note 5)	**322**	176,282	344
Future tax liability	**23,842**	31,197	21,780
Shareholders' equity	**486,348**	428,684	476,461
	$ 774,634	$ 783,998	$ 767,643

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2005**	2004
Sales	**$ 316,861**	$ 305,412
Earnings from operations before restructuring costs	**22,025**	19,378
Restructuring costs (note 3)	**4,723**	–
Earnings from operations	**17,302**	19,378
Other income	**308**	112
Earnings before interest and income taxes	**17,610**	19,490
Interest expense	**1,701**	1,387
Earnings before income taxes	**15,909**	18,103
Income taxes	**4,024**	5,554
Net earnings for the period	**$ 11,885**	$ 12,549
Basic earnings per share	**$ 0.47**	$ 0.49
Diluted earnings per share	**$ 0.47**	$ 0.48
Weighted average number of shares (millions)	**25.4**	25.4

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2005**	2004
Retained earnings, beginning of period	**$ 337,827**	$ 277,279
Net earnings for the period	**11,885**	12,549
Dividends declared ($0.06 per share; 2004: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 348,187**	$ 288,303

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2005**	2004
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	**$ 11,885**	$ 12,549
Add (deduct) items not affecting cash:		
Depreciation and amortization	**10,599**	10,444
Future income taxes	**(613)**	(288)
Gain on sale of property and equipment	**(252)**	(74)
Other	**104**	42
Change in operating working capital	**(25,666)**	5,888
	(3,943)	28,561
Financing activities		
Dividends paid	**(1,525)**	(1,525)
Increase in long-term debt	**25,224**	2,771
	23,699	1,246
Investing activities		
Additions to property and equipment	**(11,940)**	(10,602)
Proceeds from sale of property and equipment	**2,069**	688
Change in intangible assets	**(126)**	(124)
	(9,997)	(10,038)
Increase in cash and cash equivalents	**9,759**	19,769
Cash and cash equivalents, beginning of period	**9,312**	11,528
Cash and cash equivalents, end of period	**$ 19,071**	$ 31,297

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2005**	2004
Sales		
Fresh Bakery	**$ 220,813**	$ 210,630
Frozen Bakery	**96,048**	94,782
	$ 316,861	$ 305,412
Earnings from operations before restructuring costs		
Fresh Bakery	**$ 15,020**	$ 9,915
Frozen Bakery	**7,005**	9,463
	$ 22,025	$ 19,378
Additions to property and equipment		
Fresh Bakery	**$ 4,181**	$ 4,822
Frozen Bakery	**7,759**	5,780
	$ 11,940	$ 10,602
Depreciation and amortization		
Fresh Bakery	**$ 5,622**	$ 5,321
Frozen Bakery	**4,977**	5,123
	$ 10,599	$ 10,444

	As at March 31, 2005	As at March 31, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 394,886**	$ 391,611	$ 395,355
Frozen Bakery	**370,369**	375,668	364,919
Non-allocated assets	**9,379**	16,719	7,369
	$ 774,634	$ 783,998	$ 767,643

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 86.9% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at March 31, 2005.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2004. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2004, except for the following:

(a) Convertible debentures

Effective January 1, 2005 the company adopted the amendment to CICA Handbook section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the company retroactively reclassified $20 million of convertible debt as a liability on the balance sheet. The company had previously included the $20 million in equity related to a debt facility with Maple Leaf due to the fact that is can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

(b) Variable interest entities

The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this standard does not have a material impact on the Company.

(c) Comparative figures

Certain 2004 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded a $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At March 31, 2005, trade accounts receivable being serviced under this program amounted to $70.0 million (March 31, 2004: $66.8 million; December 31, 2004: $70.0 million).

5. LONG-TERM DEBT

As at March 31, 2005, the Company had $118.6 million outstanding in long-term debt of which $79.4 million (March 31, 2004: $97.6 million; December 31, 2004: $90.8 million) was due to Maple Leaf.

6. PENSIONS

During the quarter, the Company recorded $2.3 million related to net benefit plan expense (2004: $2.1 million).

7. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended March 31,	
	2005	2004
Net interest paid	**$ 2,234**	$ 1,090
Net income taxes paid	**15,190**	7,363